

APEX ANALYTICS CORP

Annual Report 2023

Driving Enterprise Intelligence Forward

LETTER FROM THE CEO

Dear Shareholders,

2023 was a transformational year for Apex Analytics Corp. We achieved record revenues of \$185.4 million, representing 22% year-over-year growth — our seventh consecutive year of double-digit expansion.

Our Cloud Platform business surpassed \$80 million in annual recurring revenue, validating our strategic pivot to cloud-native solutions that began in 2020. Enterprise adoption accelerated significantly, with 47 new Fortune 500 customers signing multi-year agreements in Q4 2023 alone.

We remain deeply committed to our growth strategy: expanding our Analytics Suite into emerging markets, deepening our Professional Services capabilities, and investing aggressively in AI-powered automation features that our customers increasingly demand. Looking ahead to 2024, we project revenue growth of 18-24%, driven by strong pipeline momentum in the financial services and healthcare verticals. Our EBITDA margin expanded to 38% in Q4 2023, demonstrating the powerful operating leverage inherent in our software business model.

I am proud of what our 1,240 employees have achieved, and I am confident in our trajectory toward becoming the leading enterprise analytics platform globally.

Sincerely,

Jonathan R. Caldwell

Chief Executive Officer, Apex Analytics Corp

FINANCIAL HIGHLIGHTS 2023

Key Financial Metrics (Full Year 2023)

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Total Revenue: \$185.4M (+22% YoY)

Cloud Platform Revenue: \$ 82.1M (+41% YoY)

Analytics Suite Revenue: \$ 54.3M (+18% YoY)

Professional Services: \$ 31.6M (+12% YoY)

Licensing Revenue: \$ 17.4M (-3% YoY, planned decline)

Operating Expenses: \$114.7M (+15% YoY)

- R&D; Investment: \$ 32.4M (17.5% of revenue)

- Sales & Marketing: \$ 41.2M (22.2% of revenue)

- G&A;: \$ 18.3M (9.9% of revenue)

- COGS: \$ 22.8M (12.3% of revenue)

EBITDA: \$ 70.7M (38.1% margin)

Net Income: \$ 52.8M (28.5% margin)

Free Cash Flow: \$ 61.3M (+28% YoY)

Q4 2023 Revenue: \$ 58.2M (+25% YoY, strongest quarter)

Q4 2023 EBITDA: \$ 22.1M (38.0% margin)

Annual Recurring Revenue (ARR): \$164.8M (+35% YoY)

Net Revenue Retention: 118%

Customer Count: 2,847 (+31% YoY)

QUARTERLY PERFORMANCE SUMMARY

Quarterly Revenue Breakdown (2023)

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- Q1 2023: \$38.2M (+18% YoY) — Strong enterprise renewals; Q1 traditionally softer
- Q2 2023: \$42.7M (+20% YoY) — New logo acceleration in APAC; healthcare vertical wins
- Q3 2023: \$46.3M (+22% YoY) — Cloud platform migrations drove upsell motion
- Q4 2023: \$58.2M (+25% YoY) — Record quarter; 47 new F500 logos; strong professional services

Sequential Growth (QoQ):

- Q1→Q2: +11.8%
- Q2→Q3: +8.4%
- Q3→Q4: +25.7% (seasonal + sales cycle)

Three-Year Revenue Trajectory:

- 2021: \$124.3M
- 2022: \$151.9M (+22.2% YoY)
- 2023: \$185.4M (+22.1% YoY)

GROWTH STRATEGY AND OUTLOOK

Strategic Priorities for 2024-2026

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1. AI-Powered Analytics (Top Priority)

We are investing \$45M over the next 18 months to embed generative AI and large language model capabilities directly into our Analytics Suite. Early enterprise pilots have demonstrated a 40% reduction in time-to-insight for financial analytics use cases. We believe AI orchestration will become the dominant paradigm for enterprise data analysis by 2026.

2. Geographic Expansion

International revenue represented 28% of total revenue in 2023, up from 19% in 2021. We are establishing regional headquarters in Singapore (APAC), Frankfurt (EMEA), and São Paulo (LatAm) to accelerate local market penetration. We project international revenue to reach 40% of total revenue by 2026.

3. Vertical Deepening

Financial services, healthcare, and manufacturing represent 68% of our customer base. We are building vertical-specific data connectors, compliance modules, and industry-standard reporting templates to deepen switching costs and expand wallet share.

4. Platform Ecosystem

Our developer platform now has 1,200 certified integration partners. We project marketplace revenue to grow from \$4.2M in 2023 to \$18M by 2025 as the ecosystem matures.

2024 Financial Guidance

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Revenue: \$218M - \$230M (+18% to +24% YoY)

EBITDA Margin: 38% - 41%

Free Cash Flow: \$72M - \$80M

R&D; Investment: ~18% of revenue

Capital Expenditures: ~3% of revenue

RISK FACTORS

Principal Risks and Mitigations

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Market Concentration Risk

28% of revenue is concentrated in the top 50 customers. We are actively diversifying by investing in mid-market sales capacity and self-serve onboarding capabilities.

Competitive Landscape

The enterprise analytics market is intensely competitive. Key competitors include Tableau (Salesforce), Power BI (Microsoft), and Looker (Google). We differentiate through superior data connectors, AI-native architecture, and enterprise security.

Macroeconomic Sensitivity

Enterprise software spending is correlated with GDP growth and IT budget cycles. Our 118% net revenue retention provides resilience through cycles as existing customers expand usage even when new logo acquisition slows.

AI Regulatory Risk

Emerging AI governance regulations in the EU (EU AI Act) and North America may require product modifications. We are proactively investing in explainability and audit trail capabilities to achieve compliance ahead of regulatory deadlines.

Talent Retention

Demand for AI and data engineering talent is intense. We have implemented equity refresh programs and launched an AI apprenticeship program targeting 200 new hires in 2024.

CORPORATE GOVERNANCE

Board Composition and Executive Team

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Board of Directors:

- Dr. Sarah Chen (Chairwoman) — Former CTO, Oracle Corporation
- Jonathan R. Caldwell — CEO, Apex Analytics Corp
- Marcus T. Williams — CFO, Apex Analytics Corp
- Elena Rodriguez — Former SVP, Salesforce
- Prof. David Kim — AI Research Lead, Stanford University

Executive Leadership:

CEO: Jonathan R. Caldwell (tenure: 7 years)

CFO: Marcus T. Williams (tenure: 4 years)

CTO: Priya Patel (tenure: 3 years)

COO: Robert A. Fischer (tenure: 5 years)

CMO: Amanda Liu (tenure: 2 years)

ESG Commitments:

- Carbon neutral operations achieved in Q3 2023
- 42% female representation in leadership roles (+8pp YoY)
- \$2.1M invested in STEM education partnerships
- SOC 2 Type II, ISO 27001, and FedRAMP Moderate certified